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Container Shipping | Asia Pacific

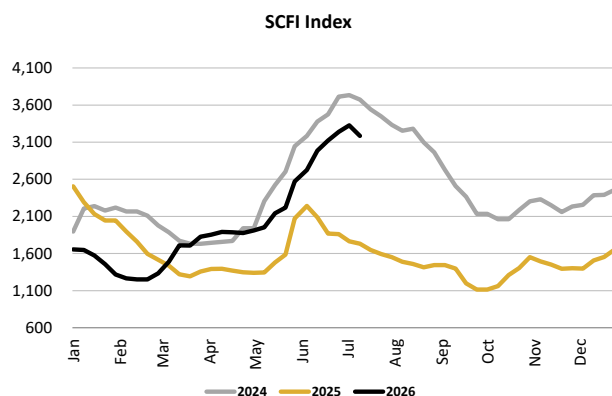
Spot Corrections Might Have Started

The Shanghai Containerized Freight Index (SCFI) was down 4.3% WoW for the week ended July 10, 2026. Rates on European, Mediterranean, US West, and US East routes changed -2.5%, -3.3%, -6.2%, and -2.0% WoW, respectively.

Our outlook for the SCFI on July 17, 2026 – Negative.

- **Trans-Pacific routes – negative.**
 - July 1 GRI was fully erased on US West routes, while the spot correction on US East routes was milder.
 - July 15 rates could continue to fall from the current level, per liners.
 - US routes have likely seen a near-term peak already.
- **European routes and Mediterranean routes – negative.**
 - Increased capacity deployment in July versus June.
 - Cargo owners are in a wait-and-see mode.
 - Most liners are cutting rates to boost loading for the second half of July.
 - [Maersk's return to Red Sea by its AE15 service](#) has impacted market sentiment, per liners.

Exhibit 1: SCFI Comprehensive Index



Source: Clarksons, Morgan Stanley Research.

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HONG KONG/CHINA TRANSPORTATION & INFRASTRUCTURE

Asia Pacific

Industry View

In-Line

Read:

[Container Shipping: Cooling Momentum amid Hesitation from Cargo Owners \(7 Jul 2026\)](#)

[Container Shipping: Maersk and Hapag-Lloyd Announce AE15 Routing Back to Red Sea \(6 Jul 2026\)](#)

[Container Shipping: Hormuz Disruption Impact Could Fade; Stay Guarded \(26 Jun 2026\)](#)

[Shipping: Geopolitics Playbook: Middle East Tension in Focus \(9 Apr 2026\)](#)

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Qianlei Fan, CFA		
Air China Limited (601111.SS)	E (07/07/2026)	Rmb5.86
Air China Limited (0753.HK)	O (01/13/2025)	HK\$4.02
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb4.68
BOC Aviation (2588.HK)	O (03/21/2022)	HK\$75.70
Cathay Pacific Airways (0293.HK)	O (06/10/2026)	HK\$13.16
China Eastern Airlines (600115.SS)	E (07/07/2026)	Rmb3.56
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK\$3.08
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb14.83
China Southern Airlines (600029.SS)	E (07/07/2026)	Rmb5.01
China Southern Airlines (1055.HK)	O (01/13/2025)	HK\$3.34
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK\$12.50
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb15.36
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb14.12
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK\$14.07
J&T Global Express Ltd (1519.HK)	O (07/06/2026)	HK\$9.15
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK\$130.70
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK\$2.99
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb31.96
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK\$33.26

Spring Airlines (601021.SS)	O (08/31/2015)	Rmb45.19
TravelSky Technology (0696.HK)	U (01/13/2025)	HK\$8.15
ZTO Express (ZTO.N)	O (11/21/2016)	US\$24.03
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK\$1.56
Guangzhou Baiyun Int'l Airport (600004.SS)	U (06/10/2026)	Rmb7.46
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK\$12.72
Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb22.62
STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb16.10
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb16.72
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb6.73

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